

more recent classes are even more favorable than in the earlier ones. It now appears that, as total employment at Motorola continues to expand with the company's growth, enough promising Motorola people can be found to maintain this activity indefinitely. All of this shows, from the investor's standpoint, that if enough ingenuity is used, even the companies with well-above-average growth rates can also "grow" the needed unusual people from within so as to maintain competitive superiority without running the high risk of friction and failure that so often occurs when a rapidly growing company must go to the outside for more than a very small part of its outstanding talent.

Everyone has a personality—a combination of character traits that sets him or her apart from every other individual. Similarly, every corporation has its own ways of doing things—some formalized into well-articulated policies, others not—that are at least slightly different from those of other corporations. The more successful the corporation, the more likely it is to be unique in some of its policies. This is particularly true of companies that have been successful for a considerable period of time. In contrast to individuals, whose fundamental character traits change but little once they reach maturity, the ways of companies are influenced not only by outside events but by the reactions to those events of a whole series of different personalities who, as time goes on, follow one another in the top posts within the organization.

However much policies may differ among companies, there are three elements that must always be present if a company's shares are to be worthy of holding for conservative, long-range investment.

*1. The company must recognize that the world in which it is operating is changing at an ever-increasing rate.*

All corporate thinking and planning must be attuned to challenge what is now being done—to challenge it not occasion-